Inventories capture the expenditure to the extent the products are completed. They do not capture final expenditure.

c) Valuables

Valuables are expensive and durable goods. Valuables include works of art, precious metals and stones and articles of jewellery. They are one form of investment. During needy hours they can be sold and used for the needed purpose if necessary. Earlier the valuables were treated as consumption but in the new series it is treated as assets.

Both fixed assets and valuables are durable goods but the distinction lies in the fact that fixed assets are those durable goods used in production of goods and services and valuables are just investment as store of value to be used for future needs.

National Income at Constant Price and Current Price

To calculate and compare the national income of various years, the national income is calculated with reference to a particular year. It is called the **base year**. The price in this year is called **price of base year or constant price**.

The national income at constant price means the total quantity of all final goods and services produced in a particular year multiplied by the price of base year (constant price). The national income calculated by this method is called the real income.

National income $_{at\ constant\ price}$ = *Total quantity of all final goods and services produced in a particular year* × *the price of base year (constant price)*

National Income at current price means the total quantity of all final goods and services produced in a particular year multiplied by the price of that particular year (current price). The national income calculated by this method is called the nominal income.

National income $_{at\ current\ price}$ = *Total quantity of all final goods and services*